

Distressed Debt Investing

5/5/25

Class 7: Office Properties Income Trust

Background

Office Properties Income Trust is an office REIT that is externally managed by RMR Group. After years of creating runway through debt exchanges, OPI filed for Ch11 in the Southern District of Texas in front of Judge Lopez on October 30th, 2025. We will do a deep dive into OPI across Classes 7 and 8.

Today we went through the elements of an investment memo. You will notice that the questions in the list below are loosely grouped to match individual sections of an investment memo. The goal at this point in the quarter is to encourage you to shift your thinking toward that of an investor rather than answering a series of questions.

Please review the documents listed below and respond to the questions. For this assignment, please create a PPT slide for each numbered question in the question list. Use the PPT template from last week as a guide. Do your underlying work in Excel and paste your output into the PPT slides. When you submit, please attach both the excel sheet and the PPT file you create. Submit your response directly to Canvas by 12pm CT on Monday 5/4. Given the shift in the nature of the assignments, there is no hard word limit, but please be concise.

Document List

1. 10.31.25 – first day declaration + RSA + RSA term sheet
2. 10.31.25 – first day cleansing materials
3. 11.3.25 – first day hearing demonstrative slides
4. 2.4.26 – final DIP financing order
5. 2.19.26 – exhibits with valuation analysis and projections

Question List

1. Business Overview. Provide an overview of OPI's business, operations, management structure, and governance.
2. Capital Structure. Lay out the capital structure of OPI at the petition date in excel, and paste the excel work into your Canvas submission. What is total debt as a multiple of NOI and what is total cash interest on the capital structure as of the petition date?
3. Corporate Structure. Roughly what percentage of the entities in the corporate group are debtors in the Chapter 11 cases? How many properties sit at the non-debtor subsidiaries and how much of the consolidated debt sits at the non-debtor subsidiaries?
4. Allocation of Assets and Liabilities across Group. What is the allocation of assets across the various debt silos in the capital structure? Which of the debt silos look the most- and least-collateralized from your assessment?
5. Cap Rate Math. Calculate the NOI yield on the assets in each of the silos as measured by gross book value.

6. Prepetition Liability Management. Please summarize the evolution of the capital structure in the few years before OPI filed for Chapter 11.
7. Sizing the New Capital Structure/Debt Sustainability. Do you think Ch11 is avoidable at this point? What would be a sustainable amount of cash interest on the capital structure at emergence? Please explain how you arrived at your answer.
8. RSA. What are the key terms? Which parties have signed? Who has not? Explain the contemplated treatment of the 2027 bonds in particular and what happens to the properties pledged to the 2027 bonds?
9. DIP Financing. What is the collateral package securing the DIP? What are the key terms of the DIP financing? How does the structure of the DIP avoid certain disputes in the case? If the DIP were paid off in cash at its scheduled maturity and all fees were paid in cash, what would the IRR be as an investor in the DIP (both with the anchor commitment and without the anchor commitment)? Paste your excel work into your Canvas submission. Assume a single draw of the entire DIP on 2/1/26.

If the DIP were to be converted into equity, how does the application of the 37% discount work across the various components of the DIP?

10. Changes to DIP Financing. Explain changes to DIP financing from the first day hearing to the entry of the final DIP order on 2/4/26.